Practice workbook · Using income statements and financial documents to decide

Features of the statement of comprehensive income and how financial documents help owners, banks and shareholders assess performance and decide.

12 question parts: 1 worked-example retry and 11 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: BUS-S3-25

1. Question 2 · part e · 3 marks

2025 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part e only.

2 *Rabanne* aims to be the best provider of fragrances for men and women throughout the world. Therefore, it uses a range of methods to make sure it will achieve this aim.

(a) State **one** reason why *Rabanne* ensures that all its employees have job enrichment opportunities.

(1)

(b) State **one** way *Rabanne* could measure its success as a business.

(1)

(c) Explain **one** reason why some businesses fail.

(3)

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1. Question 2 · part e · 3 marks

2025 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part e only.

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(d) Explain **one** reason why a business would use targeted advertising online to promote itself.

(3)

(e) Explain **one** reason why businesses use statements of comprehensive income when making decisions.

(3)

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P 7 8 7 9 7 A 0 9 2 0

1. Question 2 · part e · 3 marks

2025 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part e only.

Rabanne is finding that communicating with its employees around the world is becoming more difficult. Employees are also finding problems in communicating with each other.

Rabanne is considering the following two options to help improve communication within the business:

Option 1: communicate all information through text messaging/email

Option 2: hold weekly meetings.

(f) Justify which **one** of these two options *Rabanne* should choose.

(9)

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1. Question 2 · part e · 3 marks · Working and answer

Working and answer

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2. Question 4 · part c · 12 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

4 **Figure 2** is an extract from *Aude Rose*'s Statement of Comprehensive Income.

Sales	€62 400
Gross profit	€45 024
Cost of sales	€17 376

Figure 2

(a) Calculate, to two decimal places, the gross profit margin. You are advised to show your working.

(2)

..... %

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2. Question 4 · part c · 12 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

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(b) Analyse factors that *Aude Rose* might consider when measuring the success of its business.

(6)

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2. Question 4 · part c · 12 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

(c) Evaluate the usefulness of financial documents to help *Aude Rose* when deciding to open a second shop. You should use the information provided as well as your own knowledge of business.

(12)

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2. Question 4 · part c · 12 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.



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2. Question 4 · part c · 12 marks · Working and answer

Working and answer

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3. Question 1 · part a.iii · 1 mark

2021 NOV · Paper 01

Further practice · Attempt part a.iii only.

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1 *Artify Studio* was set up in 2015 by Tay Hui Jae in the busy Kampong Glam area of Singapore. *Artify Studio*'s aim is to have 'a communal art space where people can come together and paint, where people would be given as much creative freedom as they would have if they were in their own spaces.'

Artify Studio provides many services including its popular Liberty Art Jam where customers can paint as well as listen to music. The studio offers a Corporate Art Jam and Regular Kids Classes. Customers can purchase art materials after attending the studio.

Artify Studio is a profit-making organisation with a social element. It employs seven part-time people, all of whom are art enthusiasts.

(a) (i) Which **one** of the following functional areas is responsible for the recruitment of new employees?

(1)

Select **one** answer.

- ☒ **A** Finance
- ☒ **B** Marketing
- ☒ **C** Production
- ☒ **D** Human Resources

(ii) Which **one** of the following is an internal source of finance?

(1)

Select **one** answer.

- ☒ **A** Overdraft
- ☒ **B** Selling assets
- ☒ **C** Venture capital
- ☒ **D** Crowdfunding

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3. Question 1 · part a.iii · 1 mark

2021 NOV · Paper 01

Further practice · Attempt part a.iii only.

(iii) Which **one** of the following is a main feature of the statement of comprehensive income?

(1)

Select **one** answer.

- ☒ **A** Current assets
- ☒ **B** Non-current liabilities
- ☒ **C** Cost of sales
- ☒ **D** Capital employed

(iv) Which **one** of the following is a political factor that can affect a business?

(1)

Select **one** answer

- ☒ **A** Taxation
- ☒ **B** Global warming
- ☒ **C** Habitat destruction
- ☒ **D** Part-time workers

Running the Liberty Art Jam costs *Artify Studio* S$10 Singapore Dollars (SGD). People attending the course are charged S$35.

(v) What markup has *Artify Studio* applied to this service?

(1)

Select **one** answer

- ☒ **A** 35%
- ☒ **B** 45%
- ☒ **C** 250%
- ☒ **D** 350%

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3. Question 1 · part a.iii · 1 mark · Working and answer

Working and answer

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4. Question 2 · part e · 3 marks

2025 NOV · Paper 01

Further practice · Attempt part e only.

2 (a) State **one** fixed cost *Ocean Vibes* is likely to pay.

(1)

(b) State **one** method of primary research *Ocean Vibes* may use.

(1)

(c) Explain **one** advantage to a business of having high market share.

(3)

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4. Question 2 · part e · 3 marks

2025 NOV · Paper 01

Further practice · Attempt part e only.

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(d) Explain **one** advantage to a business of using e-commerce to sell its products.

(3)

(e) Explain **one** reason why shareholders would be interested in the financial documents of a business.

(3)

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4. Question 2 · part e · 3 marks

2025 NOV · Paper 01

Further practice · Attempt part e only.

The owners of *Ocean Vibes* plan to grow the business. They are considering two options to finance the growth:

Option 1: venture capital

Option 2: loan capital.

(f) Justify which **one** of these two options the owners of *Ocean Vibes* should choose.

(9)

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4. Question 2 · part e · 3 marks · Working and answer

Working and answer

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5. Question 3 · part d · 6 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

3 Figure 1 is an extract from *Lavender's* Statement of Comprehensive Income. Use the information below and then answer the following questions.

	Bakery (000s MYR)	*L.café* (000s MYR)	*L.bistro* (000s MYR)
Revenue	149	75	65
Cost of sales	83	51	33
Gross profit	66	24	32
Gross profit margin	44.3%		49.2%

Figure 1

(a) Define the term **current liabilities**.

(1)

(b) Outline **one** reason why the revenue is higher for the Bakery shops rather than for *L.café* and *L.bistro*.

(2)

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5. Question 3 · part d · 6 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

(c) Using Figure 1, calculate the gross profit margin for *L.café*. You are advised to show your workings.

(2)

.....%

(d) Analyse how the Statement of Comprehensive Income can be used by *Lavender* when considering its expansion.

(6)

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Olevels.com SCHOOL

5. Question 3 · part d · 6 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

To expand by opening new outlets, *Lavender* will need to know what its customers' needs and wants are.

In order to do this, *Lavender* are considering the following **two** options:

Option 1: primary market research

Option 2: secondary market research.

(e) Justify which **one** of these two methods *Lavender* should use.

(9)

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(Total for Question 3 = 20 marks)

5. Question 3 · part d · 6 marks · Working and answer

Working and answer

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6. Question 3 · part d · 6 marks

2019 JUN · Paper 02

Further practice · Attempt part d only.

3 The Chairman of *Tata Motor Company* works closely with the Finance Department to ensure that the company maintains its financial position. **Figure 2** shows the revenue for *Tata Motor Company*, 2011–2017.

Year	US$ (millions)
2011	18 441
2013	28 508
2015	39 737
2017	42 839

Figure 2

(a) Define the term **revenue**.

(1)

(b) Outline **one** reason why *Tata Motor Company* uses overdrafts.

(2)

(c) Calculate to 2 decimal places, the percentage increase in revenue from 2011 to 2017. You are advised to show your working.

(2)

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6. Question 3 · part d · 6 marks

2019 JUN · Paper 02

Further practice · Attempt part d only.

(d) Analyse how *Tata Motor Company* could use the financial information in **Figure 2**.

(6)

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6. Question 3 · part d · 6 marks

2019 JUN · Paper 02

Further practice · Attempt part d only.

Tata Motor Company gathers data to help it promote its vehicles. It is considering **two** options:

Option 1: primary research

Option 2: secondary research.

(e) Justify which **one** of these two options *Tata Motor Company* should use.

(9)

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(Total for Question 3 = 20 marks)

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6. Question 3 · part d · 6 marks · Working and answer

Working and answer

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7. Question 3 · part d · 6 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part d only.

3 (a) Define the term **job share**.

(1)

(b) Outline **one** reason why high levels of customer satisfaction might be important to *Loaf*.

(2)

Figure 2 is an extract from *Loaf*'s statement of comprehensive income in 2018.

	£000s
Revenue	90
Gross profit	22
Other operating expenses	4

Figure 2

(c) Calculate the operating profit margin for *Loaf* in 2018. You are advised to show your working.

(2)

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7. Question 3 · part d · 6 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part d only.

(d) Analyse how useful the information in **Figure 2** is to *Loaf*.

(6)

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7. Question 3 · part d · 6 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part d only.

Loaf is looking to increase its net cash flow.

It is considering the following two options:

Option 1: hosting pop-up events across the country

Option 2: introducing different cookery courses.

(e) Justify which **one** of these two options *Loaf* should choose.

(9)

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7. Question 3 · part d · 6 marks · Working and answer

Working and answer

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8. Question 4 · part b · 6 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part b only.

4 The Indian Government has said that *HRMW* is one of the top 10 businesses in India. *HRMW* has been given more than 50 awards for its performance in exporting and for the quality of its products.

Figure 3 shows *HRMW*'s possible financial situation.

	Rupees (000)
Current assets	64 650
Inventory	42 450
Current liabilities	54 550

Figure 3

(a) Calculate, to two decimal places, the acid test ratio for *HRMW*.
You are advised to show your workings.

(2)

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8. Question 4 · part b · 6 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part b only.

(b) Analyse why a bank would be interested in *HRMW*'s financial documents if it were to apply for a loan to develop new sports products.

(6)

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8. Question 4 · part b · 6 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part b only.

(c) Evaluate the factors that make a business, such as *HRMW*, successful. You should use the information provided as well as your own knowledge of business.

(12)

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8. Question 4 · part b · 6 marks · Working and answer

Working and answer

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9. Question 1 · part g · 6 marks

2020 NOV · Paper 02

Further practice · Attempt part g only.

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1 In 1985 *Emirates* started its airline business with just two aircraft. It is now a well-known airline with over 265 aircraft flying to over 180 destinations around the world.

Emirates has won many awards for service and reliability. Until 2016 passengers rated *Emirates* the leading airline to travel with. However, in 2017 its rating dropped from first to fourth.

(a) (i) Which **one** of the following only applies to a public limited company?

(1)

Select **one** answer.

- ☒ **A** Controlled by the government
- ☒ **B** Shares are traded on the stock exchange
- ☒ **C** A maximum of 50 shareholders
- ☒ **D** Restriction in the transfer of shares

(ii) Which **one** of the following departments would send an invoice to a supplier?

(1)

Select **one** answer.

- ☒ **A** Human resources
- ☒ **B** Marketing
- ☒ **C** Finance
- ☒ **D** Production

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9. Question 1 · part g · 6 marks

2020 NOV · Paper 02

Further practice · Attempt part g only.

Figure 1 shows the annual total revenue of £1 200 000 for five businesses.

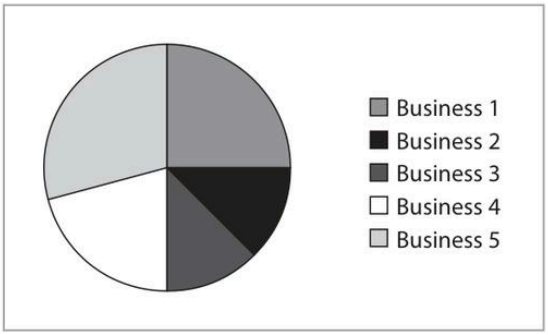


Figure 1

Business 1	**£300 000**
Business 2	**£150 000**
Business 3	**£150 000**
Business 4	**£250 000**
Business 5	**£350 000**

(iii) What is the market share for Business 2?

(1)

Select **one** answer.

- ☒ **A** 12.5%
- ☒ **B** 20.8%
- ☒ **C** 25.0%
- ☒ **D** 29.2%

(iv) Which **one** of the following describes an overdraft?

(1)

Select **one** answer.

- ☒ **A** A method of borrowing regular amounts
- ☒ **B** More funds taken out than are in the account
- ☒ **C** Money lent by many people to a business
- ☒ **D** A loan due for repayment in five years

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9. Question 1 · part g · 6 marks

2020 NOV · Paper 02

Further practice · Attempt part g only.

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Figure 2 Extract from *Emirates* financial reports, 2015–2017

	2016–2017 Dirham millions (AED)	2015–2016 Dirham millions (AED)
Total assets	133 281	129 989
Cash assets	19 066	23 453

Figure 2

(v) What is the percentage change in total assets between 2015–2016 and 2016–2017?

(1)

Select **one** answer.

- ☒ **A** –18.70%
- ☒ **B** –2.53%
- ☒ **C** 2.47%
- ☒ **D** 2.53%

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(vi) Which **one** of the following would be part of recruiting a new employee?

(1)

Select **one** answer.

- ☒ **A** Business plan
- ☒ **B** Induction training
- ☒ **C** Job description
- ☒ **D** Job enrichment

(b) Define the term **social enterprise**.

(1)

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(c) Define the term **globalisation**.

(1)

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9. Question 1 · part g · 6 marks

2020 NOV · Paper 02

Further practice · Attempt part g only.

(d) State **one** reason why *Emirates* uses competition pricing.

(1)

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Figure 3 shows part of a cash flow forecast for *Emirates*.

	June 2017 Dirham billions (AED)
Opening balance	44
Cash inflow	26
Cash outflow	30
Net cash flow	
Closing balance	40

Figure 3

(e) Calculate the net cash flow for June 2017. You are advised to show your working.

(2)

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9. Question 1 · part g · 6 marks

2020 NOV · Paper 02

Further practice · Attempt part g only.

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(f) Explain **one** of the factors in Herzberg's motivational theory.

(3)

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9. Question 1 · part g · 6 marks

2020 NOV · Paper 02

Further practice · Attempt part g only.

(g) Analyse the likely benefits to *Emirates* of using financial information when making business decisions.

(6)

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(Total for Question 1 = 20 marks)

9. Question 1 · part g · 6 marks · Working and answer

Working and answer

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10. Question 3 · part d · 6 marks

2021 NOV · Paper 01

Further practice · Attempt part d only.

3 (a) Define the term **price skimming**.

(1)

(b) Outline **one** reason why cash might be important to *Artify Studio*.

(2)

Figure 1 is an extract from the *Artify Studio* statement of profit and loss.

	S$
Revenue	90 500
Cost of goods sold	53 500
Direct labour	8 500
Total cost of sales	62 000
Gross profit	28 500

Figure 1

(c) Calculate, to two decimal places, the gross profit margin for *Artify Studio*. You are advised to show your working.

(2)

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10. Question 3 · part d · 6 marks

2021 NOV · Paper 01

Further practice · Attempt part d only.

(d) Analyse how *Artify Studio* could use the information in **Figure 1** to assess the performance of the business.

(6)

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10. Question 3 · part d · 6 marks

2021 NOV · Paper 01

Further practice · Attempt part d only.

Artify Studio is looking to increase the amount of paint materials it sells. It wants to sell painting sets for children and will need additional finance for the start-up costs of buying these painting sets.

It is considering the following two options:

Option 1: crowdfunding

Option 2: retained profit.

(e) Justify which **one** of these two options *Artify Studio* should choose.

(9)

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10. Question 3 · part d · 6 marks · Working and answer

Working and answer

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11. Question 3 · part d · 6 marks

2022 JUN · Paper 02

Further practice · Attempt part d only.

3 *LEGO* ensures its employees are fully prepared to carry out the tasks they are employed for. It looks after and encourages its employees to develop and improve their own skills.

(a) Define the term **delegation**.

(1)

(b) Outline **one** benefit to *LEGO* of being a privately-owned family business.

(2)

An employee working in the offices earns 150 000 DKK. In 2020 *LEGO* gave its employees a 4.5% pay increase.

(c) Calculate the employee's new salary. You are advised to show your working.

(2)

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11. Question 3 · part d · 6 marks

2022 JUN · Paper 02

Further practice · Attempt part d only.

(d) Analyse how *LEGO* could use a Statement of Comprehensive Income when considering the development of new toys.

(6)

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11. Question 3 · part d · 6 marks

2022 JUN · Paper 02

Further practice · Attempt part d only.

Ensuring that all employees are fully trained is important to *LEGO*. *LEGO* makes sure that all employees are fully trained and skilled to carry out the work. All employees have induction training when they start at *LEGO*. Additional training is undertaken by employees as they progress through the business. *LEGO* is considering the following two options to carry out this additional training.

Option 1: on-the-job training

Option 2: off-the-job training.

(e) Justify which **one** of these two options *LEGO* should choose.

(9)

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11. Question 3 · part d · 6 marks · Working and answer

Working and answer

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12. Question 4 · part b · 6 marks

2023 JUN · Paper 02

Further practice · Attempt part b only.

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4 *IKEA* continually reviews the products it makes to meet the demands of its customers. Changing the design of bedroom furniture to meet the needs of a couple setting up home or of parents refurnishing their children's bedroom.

Figure 3 shows the value of *IKEA*'s inventory for 2019 and 2020.

Year	Inventory € (billions)
2019	4.3
2020	3.7

Figure 3

(a) Calculate, to two decimal places, the percentage decrease in inventories from 2019 to 2020. You are advised to show your working.

(2)

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12. Question 4 · part b · 6 marks

2023 JUN · Paper 02

Further practice · Attempt part b only.

(b) Analyse why *IKEA* uses statements of comprehensive income to assess its business performance.

(6)

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12. Question 4 · part b · 6 marks

2023 JUN · Paper 02

Further practice · Attempt part b only.

IKEA prides itself on knowing the tastes and demands of its customers. This means it can provide the best experience possible when customers are shopping. It offers inspirational home furnishing tutorials and workshops to help customers create the perfect home.

(c) Evaluate the importance to *IKEA* of using demographic segmentation when targeting its customers. You should use the information provided as well as your own knowledge of business.

(12)

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12. Question 4 · part b · 6 marks · Working and answer

Working and answer

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